STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

CASE 23-G-0225

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY FOR GAS SERVICE

CASE 23-G-0226

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID FOR GAS SERVICE

CASE 23-G-0200

PETITION OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY FOR A NEW YORK STATE SALES TAX REFUND UNDER 16 NYCRR SECTION 89.3 AND REQUEST FOR AN EXTENSION

REPLY STATEMENT OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID IN SUPPORT OF JOINT PROPOSAL

Dated: May 10, 2024

Table of Contents

I. Introduction and Overview 1

II. The Parties Claiming That The Bill Impacts Arising From The JP Are Too High Unreasonably Ignore The Record And Circumstances Of This Case 3

III. In Response To Concerns About The Impact Of The JP's Proposed Bill Impacts On Low-Income Customers, The Companies Have Indicated That They Would Not Oppose A More Equal Distribution Of Low-Income Credits Across The Low Income Tiers If The Commission Were To Find That Necessary 5

IV. The Opponents Of The Replacement Of Leak Prone Pipe ("LPP") Provisions Of The JP Unreasonably Ignore Commission Policy And Precedent And The Record 6

V. The JP Provides A Reasonable Framework For The Assessment Of The Greenpoint Energy Center 10

VI. PULP's Proposal For An Annual ROE Reopener Is Contrary To Commission Policy And Precedent And Should Be Rejected 12

VII. PULP's Proposed Modification To The JP's Proposed Earnings Sharing Mechanism Should Be Rejected 14

VIII. The Opponents Of The Provision Of The JP That Addresses Biomethane Have Provided No Reasonable Basis For The Commission To Reject It 15

IX. The Newtown Creek Reporting Requirements Are Reasonable And Should Be Adopted As Proposed 18

X. The Concerns Raised About The Iroquois Enhancement By Compression ("ExC") Project Are Outside The Scope Of This Proceeding 19

XI. The JP Does Not Permit The Company To Charge Political Expenditures To Customers 19

A. The Revenue Requirements Reflected In The JP Do Not Include Political Expenditures 20

B. The JP Does Not Raise First Amendment Concerns 24

C. There Is No Need To Audit Or Impose Tracking And Reporting Requirements On The Companies 25

XII. Conclusion 26

Case 23-G-0225
Case 23-G-0226
Case 23-G-0200

STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Case 23-G-0225 – Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of The Brooklyn Union Gas Company d/b/a National Grid NY For Gas Service

Case 23-G-0226 – Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of KeySpan Gas East Corporation d/b/a National Grid For Gas Service

Case 23-G-0200 – Petition of the Brooklyn Union Gas Company d/b/a National Grid NY for a New York State Sales Tax Refund under 16 NYCRR Section 89.3 and Request for an Extension

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REPLY STATEMENT OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID IN SUPPORT OF JOINT PROPOSAL

I. Introduction and Overview

In accordance with the "Ruling Establishing Procedural Schedule For Consideration Of Joint Proposal" issued April 11, 2024 in the above-captioned proceedings, The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (KEDNY and KEDLI are collectively referred to as the "Companies") submit this Reply Statement in support of the Joint Proposal dated April 9, 2024 ("JP") in the

above-captioned proceedings. The Companies have received and reviewed the statements in support[1] and the statements in opposition[2] to the JP.

As more fully discussed below, the SIOs are notable in that they:

i. Identify objections to the JP, but in virtually all cases, fail to propose an alternative resolution that could be practically implemented or that would be consistent with the administrative record, the relevant legal standards, and/or applicable Commission precedent;[3]

ii. In certain instances, identify aspects of the JP that the opponents see as beneficial and consistent with the public interest;[4] and

iii. Ultimately fail to provide any basis for the Commission to decline to adopt the terms of the JP for the many reasons discussed by the Companies, Staff, NYC, and EDF in their statements in support.

[1] The Companies have received statements in support (hereafter "SIS") from the Department of Public Service Staff ("Staff"), the Environmental Defense Fund ("EDF"), and the City of New York ("NYC").
[2] The Companies have received statements in opposition (hereafter "SIO") from the Alliance for a Green Economy ("AGREE"), All Our Energy ("AOE"), Margot Spindelman, Mary Finneran, Natural Resources Defense Council ("NRDC"), Newtown Creek Alliance ("NCA"), Public Utility Law Project of New York, Inc. ("PULP"), Sane Energy Project ("SEP"), and WE ACT for Environmental Justice ("WE ACT").
[3] While the Companies disagree with the arguments raised by opponents of the JP, the Companies appreciate that the opposition generally reflects principled positions that are presented in a professional manner. At the same time, the Companies strongly take issue with SEP's suggestions that these proceedings have been "marked by the agency's lack of seriousness and urgency" or that there has been any instance in these proceedings in which any party has "advocated for a position that placed National Grid's interests over the public good." (SIO at 6). The Companies also completely disagree that the JP reflects climate denialism, greenwashing, or provides for superficial actions that undermine genuine progress.
[4] For example, while WE ACT (SIO at 53-55) requests that the Commission reject the JP, it supports the exclusion of the hydrogen pilot. Similarly, PULP (SIO at 1) "appreciates the steps that the parties have taken in considering consumer protections in this agreement," while NRDC recognizes (SIO at 13) that the JP contains "some potentially beneficial enhancements to National Grid's current approach to NPAs," albeit not at the level that NRDC believes is sufficient to ensure that NPAs are positioned for success.

In the Companies' Statement in Support of the JP, they anticipated and addressed many of the assertions raised in the SIOs. However, a number of issues are worthy of limited additional comments as set forth below.

II. The Parties Claiming That The Bill Impacts Arising From The JP Are Too High Unreasonably Ignore The Record And Circumstances Of This Case

While several opponents of the JP claim that the proposed rate impacts are too high,[5] these assertions unreasonably ignore both the record of this case and the circumstances that predated it. As discussed in the Companies' SIS (at 18-23), the rate increases proposed in the JP reflect a reasonable compromise of positions advocated by the Companies, Staff, NYC, and other parties who submitted testimony. Moreover, many of the cost pressures that are driving the revenue requirements proposed in the JP arise from factors that are beyond the Companies' control, including the impact of inflation, the Federal Reserve's response to inflation (*e.g.*, raising interest rates), the need to comply with federal and state pipeline safety mandates, and property tax increases.[6]

In addition, it must be recognized that the revenue increases proposed in the JP are driven in significant part by the fact that the Companies' current rate plans were negotiated during the COVID-19 Pandemic and went to great lengths to minimize rate increases.[7] As Commission Chair Rory M. Christian recognized in an editorial concerning the Commission's most recent rate decision for New York State Electric and Gas Corporation ("NYSEG"):

> Last time rates were set for NYSEG was at the height of the COVID-19 pandemic. In 2020, with no vaccine yet on the horizon and unemployment soaring, the PSC deliberately put off rate increases that had been proposed by several parties who had reached a rate agreement with the company. At that time of great uncertainty,

[5] *See* AOE SIO at 1; PULP SIO at 3-5; AGREE SIO at 2.
[6] *See* Companies SIS at 23.
[7] The current rate plan provided for no revenue increase in the first rate year and revenues increases of only 2.0 percent for KEDNY and 1.8 percent for KEDLI in the second and third rate years.

> the PSC chose to provide relief to struggling New Yorkers, many of whom were out of work due to the economic shutdown, knowing that the bill would eventually come due for expenses incurred by the utility to operate the system. That time has come, and the PSC was faced with determining how best to allow the utility to move forward with expenses related to ensuring reliability, meeting statutory mandates, and increasing the utility's workforce to improve service.[8]

The revenue increases proposed in the JP are the product of the same circumstances that affected the NYSEG case. The Commission should adopt the terms of the JP in this case consistent with its recent decisions involving NYSEG and certain of the State's other major utilities.[9] As NYC sensibly recognizes, (i) the increases in the JP have been meaningfully reduced from the Companies' original rate requests, and (ii) had the cases been litigated the rate increases would have been higher and customers would not be protected by a three-year rate plan and therefore would be at greater risk for future rate increases.[10] Moreover, the proposed rate increases are levelized over the term of the rate plans, helping to smooth customer bill impacts and provide rate stability – which would not be possible in a litigated case. Given these circumstances, the revenue requirement increases proposed in the JP are just, reasonable, and necessary.

[8] *See* Rory M. Christian, "These were the difficult but necessary choices made in NYSEG rate case. Here's why," LoHud.com, Special to the USA Today Network (October 19, 2023), *available at* https://www.lohud.com/story/opinion/2023/10/19/nyseg-rate-case-difficult-but-necessary-choices-made-in-nys-rate-case/71173687007/.

[9] See Cases 22-E-0317 et al., Proceeding on Motion of the Commission as to the *Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Electric Service*, "Order Adopting Joint Proposal" (October 12, 2023) ("2023 NYSEG/RGE Rate Order"); *see also* Cases 22-E-0064 and 22-G-0065, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service*, "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans With Additional Requirements" (July 20, 2023) ("2023 Con Edison Rate Order").

[10] NYC SIS at 1-2.

III. In Response To Concerns About The Impact Of The JP's Proposed Bill Impacts On Low-Income Customers, The Companies Have Indicated That They Would Not Oppose A More Equal Distribution Of Low-Income Credits Across The Low-Income Tiers If The Commission Were To Find That Necessary

NYC and other parties[11] express particular concerns about the impact of the rates proposed in the JP on KEDNY's low-income customers.[12] NYC proposes three possible solutions to these issues and recommends that the Commission choose one of them.[13] These proposed solutions are as follows:

i. Defer the collection of delivery revenues from Energy Affordability Program ("EAP") Tier 2-4 customers until Rate Years Two and Three in an amount sufficient to reduce or eliminate the Rate Year One impacts;

ii. Revise the rate impacts across EAP Tier 1-4 customers to reduce impacts on Tier 2-4 customers without affecting the two percent low-income budget caps; or

iii. Grant a waiver to allow KEDNY to exceed the two percent budget cap and provide the benefits to low-income customers.

In the Companies' SIS, they stated that they would not object to proposal number two[14] above and included an Appendix 1 that showed the difference in bill impacts between the Commission-accepted discount calculation and the adjusted calculation per proposal two. In reviewing the calculations, the Companies discovered an error in the calculation of bill impacts under the Commission-accepted discount. The Companies are submitting a revised Appendix 1 that compares the bill impacts for (i) the originally calculated Commission-accepted discount, (ii) the

[11] NYC SIS at 7-10; PULP SIO at 3-5.
[12] The same concerns do not arise with respect to KEDLI because its EAP expenses do not exceed the two percent budget cap.
[13] NYC SIS at 8-10.
[14] Companies SIS at 16; *see also* Appendix 1 to the Companies' SIS.

corrected calculation of the Commission-accepted discount, and (iii) the calculation under proposal two. As can be seen in the Appendix, while proposal two would better moderate the bill impacts for Tier 2-4 customers, the bill impacts using the corrected Commission-accepted discount are now more in line with proposal two than previously shown.

As to proposals one and three, the Companies understand that such proposals would require the Commission to modify the JP and/or waive the two percent budget cap. If the Commission were to adopt proposals one or three, the Companies would have no objection provided that the Companies were permitted to recover the costs associated with those proposals during the term of the rate plans.

IV. The Opponents Of The Replacement Of Leak Prone Pipe ("LPP") Provisions Of The JP Unreasonably Ignore Commission Policy And Precedent And The Record

The parties who oppose the JP because they contend that it provides for excessive levels of capital investment to replace LPP[15] and is therefore contrary to the goals of the Climate Leadership and Community Protection Act ("CLCPA")[16] mischaracterize both the record and relevant Commission precedent. In this regard, when responding to similar arguments in other utility rate proceedings, the Commission has consistently held that "the removal or replacement of LPP remain an appropriate way to enhance safety and reduce GHG emissions from the gas delivery

[15] *See* NRDC SIO at 10-13; AGREE SIO at 2; WE ACT SIO at 13-16; SEP SIO at 8.
[16] L. 2019, ch. 106.

system even after enactment of the CLCPA."[17] Similarly, as the Staff Pipeline Safety Panel recognized in these cases, the removal of LPP reduces the potential for leaks and other more serious incidents resulting from pipe failure including the potential for catastrophic incidents such as fires or explosions.[18] There is no question that removal/replacement of LPP results in increased safety and reduced methane emissions.[19]

While NRDC asserts that the JP's LPP replacement program in these cases is an effort to replace "functioning pipe" in a manner that is "both unnecessary and imprudent,"[20] this assertion finds no support in the record. To the contrary, the record shows that notwithstanding the Companies' past efforts to replace LPP on an accelerated basis, the leak rate for LPP slightly increased in KEDNY's service territory over the 2021-2022 period,[21] and the leak rate for LPP on KEDLI's system remains higher than the leak rate for other pipe.[22] In addition, with respect to proactive LPP replacement, the Companies prioritize retirement of LPP segments by using a risk ranking algorithm that is part of the Company's Distribution Integrity Management Plan.[23] The Companies' risk model calculates a relative risk score for LPP segments based on specific

[17] 2023 Con Edison Rate Order at 108-109; *see also* Case 21-E-0074 et al., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service*, "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, With Additional Requirements" (April 14, 2022) ("2022 O&R Rate Order") at 77 (finding that removal/replacement of LPP "ha[s] the potential to result in quantifiable emissions reductions"); Case 21-G-0394 et al., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Corning Natural Gas Corporation for Gas Service*, "Order Adopting Terms of Joint Proposal, Establishing Rate Plan and Approving Merger" (June 16, 2022) at 34 (finding that the replacement or removal of leak prone pipe and services reduces methane emissions and "helps the environment and furthers the State's ability to meet CLCPA goals").
[18] *See* the Testimony of the Staff Pipeline Safety Panel at 23-25.
[19] Testimony of Staff Pipeline Safety Panel at 29.
[20] NRDC SIO at 12.
[21] *See* Direct Testimony of the KEDNY Gas Infrastructure and Operations Panel ("GIOP") at 30.
[22] *See* Direct Testimony of the KEDLI GIOP at 30.
[23] *See* Direct Testimony of KEDNY GIOP at 31-32; Direct Testimony of KEDLI GIOP at 31.

performance data and localized incident probabilities and consequences combined with calculated risk factors for the asset classes being evaluated.[24] The Companies' LPP retirement algorithm prioritizes retirement of pipe segments that include open Type 3 main and service leaks on the pipe segment.[25] Contrary to NRDC's claim, most of the LPP that is prioritized for replacement will be identified as risky because it leaks and the LPP replacement targets reflected in the JP provide for the replacement of the Companies' riskiest pipe over the term of the rate plans. In addition, notwithstanding that the JP proposes significant targets for LPP replacement, the LPP replacement targets recommended by Staff in these cases will still not result in the full replacement of KEDNY's LPP before 2043 or the full replacement of KEDLI's LPP before 2046.[26] Thus, contrary to NRDC and other parties' claims, the LPP that will be targeted for proactive replacement under the LPP replacement program cannot be characterized as functioning pipe that should not be prioritized for replacement, and the Companies' overall proactive approach to replacing LPP can hardly be characterized as "imprudent."

In addition, certain of the opponents to the JP assert that the Commission should require the Companies to scale up the NPA programs provided under the JP in lieu of replacing LPP.[27] Contrary to the claims of opponents of the JP, the JP includes a number of specific, actionable commitments to promote NPAs to avoid traditional infrastructure investments, including:

i. a commitment to make evaluations of possible NPAs before proceeding with the construction of new or replacement infrastructure;[28]

[24] Direct Testimony of KEDNY GIOP at 31-32; Direct Testimony of KEDLI GIOP at 31.
[25] Direct Testimony of KEDNY GIOP at 29; Direct Testimony of KEDLI GIOP at 29.
[26] *See* Staff Pipeline Safety Panel Testimony at 30. Under the Companies' more gradual LPP replacement proposals the completion of LPP replacement was not anticipated to occur before 2052 for KEDNY and 2049 for KEDLI.
[27] *See* WE ACT SIO at 16-20; NRDC SIO at 13-15.
[28] JP Section IV.7.1.

ii. a commitment to expand the types of projects where NPAs will be considered (*e.g.*, LPP replacement; service line installation, replacements, or relocations; system reinforcements; and main extensions);[29]

iii. a commitment to identify at least five segments of LPP in each of the Companies' service territories that could be abandoned if all of the customers' natural gas loads were met with NPAs that would allow the section of LPP to be abandoned;[30]

iv. a commitment to enhance the Companies' LPP NPA program by prioritizing the lowest priority pipe and targeting the greatest concentration of LPP miles that can be addressed through an NPA;[31]

v. a commitment to replicate successful methodologies to target customers willing to participate in NPAs;[32]

vi. a commitment to work with the New York City Housing Authority to develop a potential large-scale NPA;[33]

vii. a commitment to operate the NPA program under a corresponding timeline or duration of the LPP removal program;[34]

viii. a commitment to assess NPAs over a five-year cycle;[35]

[29] JP Section IV.7.1.1 through IV.7.1.4.
[30] JP Section IV.7.1.1.
[31] *Id.*
[32] *Id.*
[33] *Id.*
[34] *Id.*
[35] *Id.*

ix. a commitment to annual reporting, an LPP NPA implementation plan subject to public comment, and stakeholder engagement meetings to discuss program progress and elicit feedback and improvement opportunities;[36] and

x. commitments to enhance NPA promotion, education and outreach through the use of both internal resources and implementation contractors and to report on such efforts.[37]

The opponents to the JP provide little or nothing in the way of specific examples of what more the Companies' can do to better promote NPAs. Nor do they point to any examples of other utilities that have developed more successful NPA frameworks that have enabled those utilities to significantly reduce the replacement of LPP.

The enhanced focus on implementation of NPAs by the Companies provided for in the JP is designed to increase NPAs as replacements for retired LPP. At the same time however, increased efforts to implement NPAs are not a magic bullet that will eliminate the Companies' need to continue to replace the riskiest portion of their LPP distribution plant during the term of the JP. Contrary to the claims of opponents, the continued replacement of LPP during the term of the proposed rate plan is both prudent and consistent with the public interest.

V. The JP Provides A Reasonable Framework For The Assessment Of The Greenpoint Energy Center

There is simply no merit in various parties' claims that the JP should be modified or rejected because it provides for the recovery of capital investments in the Greenpoint Energy Center.[38] The level of capital investment provided for under the JP is the level needed to continue to operate and

[36] JP Sections IV.7.1.1, 7.1.4, and 7.1.6.
[37] *Id.* Section IV.7.1.5.
[38] SEP SIO at 9; NCA SIO at 2-3.

maintain the Greenpoint Energy Center for the foreseeable future.[39] The Greenpoint Liquified Natural Gas ("LNG") facility is essential to KEDNY's efforts to meet the peak day demands of its firm customers. Specifically, the facility has a maximum vaporization capability of approximately 291,000 Dekatherms or approximately 10 percent of KEDNY's total peak day supply.[40] There are no reasonably available alternatives to LNG supply to meet the peak day demands of KEDNY's firm customers[41] and the significance of LNG deliverability to the continued provision of gas distribution service in downstate New York was recently highlighted in the review of Winter Storm Elliot conducted by the Federal Energy Regulatory Commission and other entities.[42]

Notwithstanding the obvious significance of the Greenpoint Energy Center to KEDNY's efforts to maintain safe and reliable gas distribution service, the JP provides that the long-term role of the Greenpoint LNG plant through 2044 will be thoroughly considered and assessed in the Long-Term Planning proceeding in Case 20-G-0131.[43] Moreover, the Signatory Parties to the JP have acknowledged that upon consideration of the record in the Long-Term Planning Proceeding the Commission may take appropriate actions including requiring the Companies to defer the revenue requirement associated with any unspent capital investment and related O&M expense that the Companies' can reasonably avoid if the Commission determines that the investment is not

[39] *See* Direct Testimony of the KEDNY GIOP at 68-71. *See also* 2023 Con Edison Rate Order at 116 (recognizing that "capital projects needed to ensure safe and adequate service continue to be appropriate even after the enactment of the CLCPA").
[40] *See* Rebuttal Testimony of the Companies' Gas Supply Panel at 4.
[41] *Id.* at 5-6; *see* Staff Gas Reliability and Supply Panel Testimony at 20-22.
[42] *See* FERC, NERC and Regional Entities, "Inquiry into Bulk-Power System Operations During December 2022 Winter Storm Elliott" (October 2023) at 86 where the Report stated: "As part of the Gas System Emergency, Con Edison activated its LNG regasification plant. Had Con Edison citygate pressure not recovered, it was in danger of losing pressure on, or needing to cut service to, all or a large portion of its system. Even losing service to 130,000 customers would be considered a major outage and could have taken five to seven weeks to restore, depending on the availability of mutual aid." While these findings were specific to Con Edison, they are equally true for KEDNY.
[43] JP Section IV.5.2.

needed. These provisions provide a reasonable framework for considering and resolving issues concerning the Greenpoint Energy Center over the long-term and should be adopted without modification.

VI. PULP's Proposal For An Annual ROE Reopener Is Contrary To Commission Policy And Precedent And Should Be Rejected

PULP asserts that the Commission should either establish a mechanism for recalculating the return on equity ("ROE") on an annual basis during the term of the JP or modify the ROE to reset it at the lower of 9.35 percent or the result of Staff's ROE model run with the most recent available data.[44] PULP's proposal should be rejected for several reasons.

First, PULP's proposal is premised on the erroneous notion that there is a Staff ROE model that has been or could be adopted by the Commission[45] as the means of setting the ROE in utility rate cases without knowing the impact of that decision on the ultimate rates charged by the utility or its continued financial integrity. This premise runs afoul of the most basic legal tenets that govern ratemaking; namely (i) that it is the result reached, not the methodology employed that determines whether the end result of ratemaking is just and reasonable and (ii) that the ROE should be commensurate with returns on investments in other enterprises having corresponding risks and should be sufficient to assure confidence in the financial integrity of the enterprise, so as to maintain its credit and to attract capital.[46] As neither the Commission, PULP itself, nor any other

[44] PULP SIO at 5-6.
[45] Indeed, the Companies dispute that there is a Staff ROE model that mechanically determines Staff's ROE recommendation in rate cases. Contrary to this claim, a review of Staff Witness Duah's testimony in this case demonstrates that Staff's ROE recommendation is based on far more information than the rote application of a ROE model. For example, the model used by Mr. Duah in this case requires the selection of a proxy group selected by applying specific criteria to publicly traded utility companies. The results of this process can change the composition of the proxy group in any period.
[46] *FPC v. Hope Natural Gas Co.*, 320 U.S. 591, 605 (1944); *Abrams v. Public Service Commn*, 104 A.D.2d 135, 137-38 (3rd Dept. 1984).

party can determine at this time the ROE that PULP is requesting to be established under the JP or the impact of that ROE on the Companies, PULP's proposal must be rejected.

Second, to the extent that PULP is advocating for a mechanism to reset the Companies' ROE annually under a multi-year rate plan, PULP's proposal has already been proposed and rejected in the 2023 Con Edison Rate Order where the Commission stated:

> We do not agree with PULP that it would be appropriate to conduct annual updates of a utility's ROE in isolation without consideration of other factors, such as forecasted costs, that may also impact a utility's earnings. We therefore could see an ROE update process necessarily evolving into an extensive annual evidentiary process on various financial issues, a process that would undermine the very rate case efficiencies and cost savings that motivate parties to agree to multi-year rate plans in the first place.[47]

PULP's request for single-issue ratemaking with respect to ROE is no more appropriate in this case than it was in the 2023 Con Edison Rate Order and should be rejected for the same reasons.

As discussed in the Companies' SIS (at 19-21), the ROE recommended in the JP reflects a reasonable compromise between the ROE recommendations of the Companies and Staff and is consistent with Commission precedent that holds that it is reasonable to provide a ROE premium above a Staff ROE recommendation for a one-year rate case to recognize "that the extended term of a JP carries more financial risk as investors are subject to additional risk that economic conditions may change and the actual cost of capital could change during the extended term of a rate plan."[48] While PULP contends – erroneously from the Companies' point of view[49] – that it has performed an analysis that shows that recent history "has not borne out this risk,"[50] the purpose

[47] 2023 Con Edison Rate Order at 76.
[48] *Id.* at 78.
[49] Without belaboring this point, the Companies completely disagree with the analysis of utility returns performed by PULP Witness Yates for the reasons set forth in the Rebuttal Testimony of Joshua C. Novak (at 46-53).
[50] PULP SIO at 6.

of a risk premium is to compensate utility investors for prospective risk. To the extent that PULP is attempting to compensate customers for what it asserts to be a "historic imbalance," its proposal is unlawful under the well-established rule against retroactive ratemaking, which prevents the Commission from establishing rates that compensate customers or shareholders for historic under-recoveries or over-recoveries of costs.[51]

For all these reasons, PULP's ROE proposal must be rejected and the 9.35 percent ROE set forth in the JP should be adopted.

VII. PULP's Proposed Modification To The JP's Proposed Earnings Sharing Mechanism Should Be Rejected

While PULP urges the Commission to modify the JP to require that both KEDNY's share and the customers' share of any earnings in excess of the authorized ROE would be used to reduce deferred environmental costs,[52] PULP's proposal is contrary to relevant Commission precedent. PULP made essentially the same proposal in Con Edison's previous rate case and the Commission rejected it, finding that Con Edison's graduated multiple shared earnings tiers, which provide for an increasing customer share of excess earnings, were consistent with rate plans previously approved by the Commission and that the Company and customers would benefit from an earnings sharing mechanism by providing a financial incentive for the utility to maximize efficiencies, while also protecting customers if financial results were dramatically different than what was forecast.[53] For the same reasons, the Commission should reject PULP's earnings sharing proposal and adopt the earnings sharing mechanism as proposed in the JP.

[51] *Matter of Megnin Farms at Poolsbrook, LLC v. N.Y. Public Service Comm.n*, 172 A.D.3d 1563, 1566 (3rd Dept. 2019).
[52] PULP SIO at 7-9.
[53] 2023 Con Edison Rate Order at 83.

VIII. The Opponents Of The Provision Of The JP That Addresses Biomethane Have Provided No Reasonable Basis For The Commission To Reject It

In calling for the rejection of Section IV.7.8 of the JP, which addresses Biomethane Supply Interconnections, the opponents of that provision unreasonably ignore applicable Commission policy and precedent. In this regard, in the 2023 Con Edison Rate Order, the Commission approved the provision of a joint proposal that permitted Con Edison to recover the revenue requirement impact associated with a capital investment necessary to connect a renewable natural gas ("RNG")[54] facility up to a maximum of $10 million over the term the rate plan.[55] In doing so, the Commission rejected arguments by NRDC and WE ACT that opposed the recovery of the interconnection costs, finding that the New York Climate Action Council's Final Scoping Plan recognizes that RNG may be considered to decarbonize the gas system as it transitions.[56] The Commission further found that Con Edison's RNG interconnection project would allow Con Edison to investigate the use of RNG in its system as a means of reducing GHG emissions in the State.[57] To enable stakeholders to monitor the RNG project, the Commission required Con Edison to file a report at least 90 days prior to construction of any interconnection project containing (i) a cost estimate of the interconnection project, (ii) a summary of the benefits to the reliability of the natural gas system in the vicinity of the project and in the service territory in general, (iii) a detailed description of the source materials being used to produce the RNG at the interconnection and (iv) a detailed accounting of the of the environmental impacts of any RNG that will be procured as part of the interconnection.[58] Section IV.7.8 of the JP provides that the Companies will provide the

[54] The terms renewable natural gas ("RNG") and biomethane are interchangeable.
[55] 2023 Con Edison Rate Order at 124.
[56] *Id.* at 127.
[57] *Id.* at 129.
[58] *Id.* at 128-29.

same information as required in the 2023 Con Edison Order prior to proceeding with the construction of facilities needed to permit biomethane interconnections. The Companies submit that the biomethane supply interconnection provision of the JP should be adopted for the same reasons set forth in the 2023 Con Edison Rate Order.

In addition, leaving aside the fact that the provision of the JP that addresses biomethane is consistent with relevant Commission precedent, none of the arguments raised by WE ACT or NRDC provides a reasonable basis to reject the biomethane supply interconnection provision. In this regard, WE ACT begins its argument by mischaracterizing the legal standard that the Commission is required to follow in evaluating the JP; asserting that the CLCPA requires the Commission "to conduct a fact-specific inquiry carefully evaluating each term of the Joint Proposal for compliance with the CLCPA and modifying or rejecting any terms that do not comply with the law."[59] Contrary to the claim, what the CLCPA actually requires of the Commission is to determine whether its overall decision in this case "is inconsistent with or will interfere with the attainment of the statewide greenhouse gas emission limits established in Article 75 of the environmental conservation law."[60] In addition, the CLCPA requires the Commission to determine that its decisions do not "disproportionately burden disadvantaged communities" and that they "prioritize reductions of greenhouse gas emissions and co-pollutants in disadvantaged communities."[61] As discussed in the Companies' and other parties' statements in support,[62] the JP clearly meets the applicable CLCPA standards.

[59] WE ACT SIO at 9.
[60] CLCPA at § 7(2).
[61] CLCPA at § 7(3).
[62] Companies SIS at 8-17; Staff SIS at 8-13; NYC SIS at 18-26.

While WE ACT further asserts that the proposed biomethane interconnections are not necessary to meet any reliability needs or customer demand,[63] this assertion is contradicted by the record. As both the Companies and Staff recognized, localized supplies of biomethane can both offset the need for additional upstream capacity and provide additional local supply.[64] During a period in which the ability to add upstream capacity and supply is constrained, the Commission should properly recognize this benefit by adopting Section IV.7.8. of the JP.

NRDC's argument that the cost of biomethane interconnections should be allocated to project developers to align with the cost recovery approach followed in upstream electric markets and otherwise follow the principle of cost causation[65] reflects a fundamental misunderstanding of the market for upstream gas supply and capacity. Local gas distribution companies have provider of last resort responsibilities that require the utilities to contract for upstream capacity and supply. To the Companies' knowledge, the costs of ensuring that incremental supplies can be safely and reliably introduced into their gas distribution systems have always been borne by the Companies and reflected in customers' rates. The costs that the Companies are proposing to recover for biomethane interconnections are the same types of costs that the Companies have always borne and recovered from customers and there is no basis for the Commission to reverse course and require the Companies to assess those costs to upstream suppliers. Indeed, if the Commission were to require the Companies to assess all interconnection costs to upstream suppliers then it is quite

[63] WE ACT SIO at 21. WE ACT repeatedly mischaracterizes Section IV.7.8. of the JP as providing for rate recovery of the costs of biomethane interconnection facilities (WE ACT SIO at 20, 22-23). In fact, Section IV.7.8 only permits the Companies to defer the revenue requirement impacts of the biomethane interconnection projects once they are in service.
[64] *See* Staff Reliability and Gas Supply Panel Testimony at 12; Direct Testimony of Companies Gas Supply Panel Testimony at 15-17; Direct Testimony of KEDNY GIOP at 80-81; Direct Testimony of KEDLI GIOP at 77-78.
[65] NRDC SIO at 16-17.

possible that no upstream suppliers would choose to connect to the Companies' system, a result that would prevent the Companies from fulfilling their obligations to serve.

In sum, Section IV.7.8 of the JP provides a reasonable approach that will enable the Companies to proceed to incorporate biomethane into their systems as part of New York's energy transition. The JP's biomethane interconnection provision is consistent with applicable Commission policy and should be adopted without modification.

IX. The Newtown Creek Reporting Requirements Are Reasonable And Should Be Adopted As Proposed

While certain parties request expanded reporting associated with the Newtown Creek Project and greater interaction between the Companies and various community groups related to the project,[66] the Companies submit that the annual reporting provided for under the JP, coupled with the additional commitment set forth in Section IV.7.9 of the JP to negotiate a mutually agreeable Service Level Agreement with the New York City Department of Environmental Protection ("DEP") concerning outages and response times, including the provision of additional information to the DEP Commissioners' office and Community Board No. 1 of outages that are continuous for 24 hours or more, or more than 48 hours in any month, is reasonable and should be adopted. The JP imposes significant incremental reporting burdens on the Companies and those should not be expanded when the Companies are also proposing to enter into agreements that are intended to address the outage-related issues that have been experienced at the Newtown Creek facility.

[66] WE ACT SIO at 36-38; NCA SIO at 4-5.

X. The Concerns Raised About The Iroquois Enhancement By Compression ("ExC") Project Are Outside The Scope Of This Proceeding

While certain opponents of the JP express concerns about the Iroquois Gas Transmission, ExC project,[67] the construction and operation of that project are matters that are beyond the scope of this proceeding. The project is subject to regulation by the Federal Energy Regulatory Commission ("FERC") and concerns about that project should be addressed to FERC or other administrative agencies that may exercise permitting authority over the project.

XI. The JP Does Not Permit The Company To Charge Political Expenditures To Customers

Contrary to WE ACT's assertion, the JP does not permit the Companies to charge "political expenditures" to customers. WE ACT argues that several expenses included in the JP are inappropriate to include in revenue requirements because they are "political expenses" that should be recorded below-the-line and not included in rates.[68] WE ACT further argues that the inclusion of these expenses raises "serious First Amendment concerns."[69] Finally, WE ACT recommends that the Commission audit the Companies and impose tracking and reporting obligations to confirm that the Companies are properly accounting for political expenditures.[70] As discussed below, WE ACT's arguments are mistaken, as the Companies have properly recorded all expenses. Therefore, the revenue requirements reflected in the JP do not include any improper expenditures, there are no First Amendment concerns raised by the JP, and there is no need for the Commission to audit or impose tracking and reporting obligations on the Companies.

[67] *See* SANE SIO at 7-8; Mary Finneran SIO at 1-2.
[68] WE ACT SIO at 39-52.
[69] *Id.* at 48-49.
[70] *Id.* at 49-51.

A. The Revenue Requirements Reflected In The JP Do Not Include Political Expenditures

The revenue requirement reflected in the JP includes only expenses that are properly chargeable to customers. WE ACT argues that certain expenditures should be excluded from rates as political expenditures, including expenses related to: (a) membership dues paid to the National Insurance Crime Bureau ("NICB"); (b) appearances before or submissions to governmental bodies; (c) National Grid's Clean Energy Vision Report ("CEV Report");[71] and (d) certain bill inserts. Contrary to WE ACT's arguments, these expenditures were properly recorded in above-the-line expense accounts and, as such, are properly included in the rates reflected in the JP.

1. NICB Membership Dues

WE ACT first argues that the inclusion of the cost of membership dues to the NICB in the Historic Test Year was improper. WE ACT argues that the inclusion of these costs violated PSL § 114-a because NICB engages in lobbying activity. The Companies disagree with WE ACT's assertions.

The NICB is a national organization that combats insurance fraud. As described on its website, the purpose of the NICB is to "partner with insurance companies, consumers, and law enforcement to combat and prevent insurance crime." National Grid utilizes NICB resources as part of its insurance fraud and risk management strategy to minimize claims expense for customers. NICB assists with fraud investigations, facilitates collaboration between members and law enforcement on particular issues or claims, and provides National Grid with access to a national database enabling the investigation of insurance claims such as motor vehicle accidents and

[71] National Grid, "Our Clean Energy Vision" (April 2022), *available at* https://www.nationalgrid.com/document/146251/download?bcs-agent-scanner=0d174550-f165-fb4d-b85f-682144fd5dad.

workplace injuries. Additionally, NICB provides training and resource material to enable National Grid to stay abreast of industry developments and collaborate and share best practices among members. These costs are incurred for the purpose of minimizing claims costs to customers and therefore properly reflected in the revenue requirement.

While it appears based on a review of the invoice that NICB may engage in some form of lobbying – estimated at 0.412 percent of the assessment based on the invoice[72] – the Companies are not aware that NICB conducts lobbying on any issues related to utility operations. Therefore, NICB membership dues should not be excluded from recovery.

Notwithstanding, the NICB membership dues included in the revenue requirement are *de minimis*, amounting to $2,419.02 in KEDNY's Historic Test Year and $2,974 in KEDLI's Historic Test Year. Assuming, *arguendo*, that 0.412 percent of those amounts could be considered utility lobbying, the lobbying portion of those amounts total $9.97 for KEDNY and $12.25 for KEDLI. These minor amounts have an extremely small, if any, impact on rates and, as such, the inclusion or exclusion of these costs from the revenue requirements should not impact the Commission's determination with respect to the JP.

2. Appearances Before and Submissions to Governmental Authorities

WE ACT next argues that the Companies improperly charged customers for expenditures related to the Companies' appearances before or submissions to governmental authorities. Specifically, WE ACT argues that customers were improperly charged for (a) National Grid Vice President of Corporate Affairs' testimony before the New York City Council Committee on Environmental Protection on Intro 2317; (b) National Grid's submission of comments to the

[72] Appendix 2 is a copy of an invoice from NICB.

Climate Action Council regarding the draft Scoping Plan; and (c) National Grid Vice President for U.S. Policy and Regulation's submission of a comment letter to DEC and NYSERDA about New York's proposed cap and invest program.[73] WE ACT argues that these expenses should have been recorded below-the-line in FERC Account No. 426.4 as "Expenditures for certain civic, political and related activities." Contrary to WE ACT's arguments, expenditures related to appearances before or submissions to governmental authorities are not included in Account 426.4, but are properly included in operating expense accounts charged to customers. This is clear from the FERC Uniform System of Accounts ("USoA"), which states that Account No. 426.2 "shall not include such expenditures which are directly related to appearances before regulatory or other governmental bodies in connection with the reporting utility's existing or proposed operations."[74] Notably, WE ACT omits this exclusion when quoting the FERC USoA. Further, in its order promulgating amendments to Account 426.4, the Federal Power Commission, a predecessor to FERC, clarified that the following expenditures, among others, are properly recorded to operating expense accounts, rather than Account No. 426.2: (i) cost of appearances before the Federal Power Commission or other Federal and State regulatory agencies in various regulatory proceedings; (ii) costs of submitting comments on this proceeding or other regulatory proceedings; and (iii) necessary appearances before or communications to Congress or legislative bodies regarding matters of direct operating concern to the utility company.[75] On the other hand, costs that should be recorded in Account 426.4 include, for example: (i) advertising in various mass communication media to influence the election or appointment of public officers or proposed legislation at Federal,

[73] WE ACT SIO at 41-43.
[74] 18 C.F.R. Part 201.
[75] *In re Expenditures for Political Purposes – Amendment of Account 426*, Order No. 276, 30 F.P.C. 1539, 1542 (Dec. 18, 1963) ("Order No. 276").

state, or local levels; (ii) advertising in mass communication media to promote legislation exempting independent producers of natural gas from Federal regulation; (iii) advertising in mass communication media to influence the general public or public officials on the private v. public power question; and (iv) costs to utility of time utilized by employees in a house-to-house campaign or other devices for influencing public opinion as to public power or natural gas legislation together with associated company expenses.[76] The FPC stated that these lists in Order No. 276 are not exhaustive, but rather "illustrate[] the type of expenditures that it would appear should be placed in each category."[77] The expenses cited by WE ACT clearly fall into the categories of expenses that should be included in operating expense accounts, as they relate to the Companies' appearance before or submissions to governmental authorities, including the New York City Council, the Climate Action Council, the DEC and NYSERDA. Therefore, WE ACT's argument is mistaken; these costs are properly included in operating expense accounts and reflected in the JP's revenue requirements.

3. The CEV Report and Bill Inserts

WE ACT argues that the CEV Report is a "policy advocacy document" and "political advertising" that is not recoverable in rates. WE ACT mischaracterizes the Report, which constitutes "informational advertising" under the Commission's 1977 Statement of Policy on Advertising and Promotional Practices of Public Utilities.[78] Therefore, costs related to the CEV

[76] *Id.*
[77] *Id.*
[78] New York Public Service Commission, "Statement of Policy on Advertising and Promotional Practices of Public Utilities (February 25, 1977) ("Advertising Policy Statement").

Report are "a legitimate cost of doing business" and are properly recoverable in rates.[79] In the Advertising Policy Statement, the Commission found that:

> [s]ome forms of utility institutional advertising clearly are in the public interest and their costs are a legitimate expense of doing business. These include…reports on matters of interest to the public concerning the utility's service — such as service difficulties and progress in overcoming them, projections of new capacity additions, plans for new or improved means of providing service, and the like. Expenses incurred by utilities for this type of advertising are clearly properly recoverable in rates.[80]

The CEV Report provides information to the Companies' customers and the public regarding how National Gird will operate its energy delivery systems to support New York's climate objectives and comply with state and federal mandates in the near-term and into the future. Although there is a short, two-page section of the CEV Report that provides general public policy suggestions for the energy industry, the majority of the Report is dedicated to providing the Companies' "plans for new or improved means of providing service" in light of the evolving energy policies of the states where National Grid operates. Therefore, the CEV Report clearly constitutes informational advertising and its costs are properly recoverable from customers.

Similarly, the bill language opposed by WE ACT does not advocate a policy position.[81] WE ACT again reads this language too broadly, in an attempt to characterize any statement regarding natural gas usage as a statement of public policy. This viewpoint is untenable and would result in nearly any statement made by the Companies being characterized as a political position.

B. The JP Does Not Raise First Amendment Concerns

WE ACT also advances a conclusory argument alleging that the Companies use of customer money to "fund [the Companies'] own speech on public policy issues" infringes on the

[79] *Id.* at 12
[80] *Id.* at 11-12.
[81] WE ACT SIO at 48.

customers' First Amendment rights.[82] For the reasons discussed above, the revenue requirements reflected in the JP do not include the costs of any political statements or positions. For that reason, the JP does not raise any First Amendment concerns. In addition, WE ACT's citation to *Cahill v. Public Service Commission* is inapplicable here, as the Companies properly excluded all charitable contributions from the Historic Test Year in these proceedings. The expenditures included here are for institutional advertising and are therefore properly included in rates, consistent with the Advertising Policy Statement and other Commission precedent, and do not raise any First Amendment concerns.

C. There Is No Need To Audit Or Impose Tracking And Reporting Requirements On The Companies

WE ACT suggests that, due to the issues it has alleged regarding the Companies, the Commission audit the Companies and impose tracking and reporting obligations on the Companies to confirm that the Companies are properly accounting for costs related to political activity. However, as discussed above, WE ACT has failed to identify any costs that have been improperly included in rates. The Companies have properly accounted for all costs consistent with law and Commission precedent. Indeed, the Companies engaged in a robust review of its Historic Test Year to ensure costs were thoroughly reviewed and appropriately normalized.[83] This included a review of vendor charges, employee expenses, labor charges, and manual journal entries. Therefore, WE ACT's recommendation that the Companies be audited and subject to additional tracking and reporting requirements is unjustified and should not be adopted.

[82] *Id.* at 49.
[83] *See* Testimony of KEDNY's Revenue Requirements Panel at 17-29.

XII. Conclusion

For all the foregoing reasons as well as those set forth in the Companies' Statement in Support, the Commission should promptly approve the JP.

Respectfully submitted,

/s/ *Philip A. DeCicco*

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Appendix 1

The Brooklyn Union Gas Company d/b/a National Grid New York
Case 23-G-0225
AMENDED PULP-62 Attachment 4
Page 1 of 1

Comparison of Energy Affordability Program Rates

KEDNY	PULP -61/62 Response **Commission-Accepted Method**					PULP -61/62 Amended Response **Commission-Accepted Method**					Revised **Revised Methodology**				
	Delivery				Total Bill	Delivery				Total Bill	Delivery				Total Bill
Current vs. Proposed RY 1	Current	Proposed	Difference	Change	Change	Current	Proposed	Difference	Change	Change	Current	Proposed	Difference	Change	Change
SC 1AR - Residential Non Heat Reduced Rate (Tiers 1-4)	$24.60	$ 30.56	$ 5.96	24.20%	21.27%	$24.60	$ 30.56	$ 5.96	24.20%	21.27%	$ 24.60	$ 30.56	$ 5.96	24.20%	21.27%
SC 1 BR - Residential Heat Reduced Rate (Tier 1)	$71.72	$ 90.47	$ 18.75	26.14%	15.16%	$71.72	$ 94.54	$ 22.82	31.82%	18.49%	$ 71.72	$ 95.22	$ 23.50	32.77%	19.05%
SC 1 BR - Residential Heat Reduced Rate (Tier 2)	$43.00	$ 67.41	$ 24.41	56.77%	25.88%	$43.00	$ 62.24	$ 19.24	44.74%	20.35%	$ 43.00	$ 61.57	$ 18.57	43.19%	19.63%
SC 1 BR - Residential Heat Reduced Rate (Tier 3)	$21.34	$ 50.02	$ 28.68	134.41%	39.65%	$21.34	$ 37.88	$ 16.54	77.51%	22.73%	$ 21.34	$ 36.09	$ 14.75	69.13%	20.23%
SC 1 BR - Residential Heat Reduced Rate (Tier 4)	$27.83	$ 55.23	$ 27.40	98.48%	34.73%	$27.83	$ 45.17	$ 17.35	62.34%	21.87%	$ 27.83	$ 37.20	$ 9.37	33.68%	11.68%
	Delivery				Total Bill	Delivery				Total Bill	Delivery				Total Bill
RY 1 vs. RY 2	RY1	RY2	Difference	Change	Change	RY1	RY2	Difference	Change	Change	RY1	RY2	Difference	Change	Change
SC 1AR - Residential Non Heat Reduced Rate (Tiers 1-4)	$30.56	$ 33.72	$ 3.16	10.33%	9.25%	$30.56	$ 33.72	$ 3.16	10.33%	9.25%	$ 30.56	$ 33.72	$ 3.16	10.33%	9.25%
SC 1 BR - Residential Heat Reduced Rate (Tier 1)	$90.47	$ 94.13	$ 3.66	4.04%	2.53%	$94.54	$ 99.68	$ 5.13	5.43%	3.45%	$ 95.22	$100.62	$ 5.40	5.67%	3.61%
SC 1 BR - Residential Heat Reduced Rate (Tier 2)	$67.41	$ 72.50	$ 5.08	7.54%	4.17%	$62.24	$ 65.47	$ 3.23	5.19%	2.77%	$ 61.57	$ 64.54	$ 2.97	4.82%	2.56%
SC 1 BR - Residential Heat Reduced Rate (Tier 3)	$50.02	$ 56.17	$ 6.15	12.29%	5.89%	$37.88	$ 39.65	$ 1.77	4.68%	1.92%	$ 36.09	$ 37.19	$ 1.10	3.06%	1.22%
SC 1 BR - Residential Heat Reduced Rate (Tier 4)	$55.23	$ 61.06	$ 5.82	10.55%	5.32%	$45.17	$ 47.38	$ 2.20	4.88%	2.21%	$ 37.20	$ 36.45	$ (0.75)	-2.01%	-0.82%
	Delivery				Total Bill	Delivery				Total Bill	Delivery				Total Bill
RY 2 vs. RY 3	RY2	RY3	Difference	Change	Change	RY2	RY3	Difference	Change	Change	RY2	RY3	Difference	Change	Change
SC 1AR - Residential Non Heat Reduced Rate (Tiers 1-4)	$33.72	$ 39.62	$ 5.90	17.50%	15.85%	$33.72	$ 39.62	$ 5.90	17.50%	15.85%	$ 33.72	$ 39.62	$ 5.90	17.50%	15.85%
SC 1 BR - Residential Heat Reduced Rate (Tier 1)	$94.13	$106.31	$ 12.18	12.94%	8.27%	$99.68	$113.95	$ 14.28	14.32%	9.34%	$100.62	$115.28	$ 14.66	14.57%	9.53%
SC 1 BR - Residential Heat Reduced Rate (Tier 2)	$72.50	$ 86.41	$ 13.91	19.19%	11.06%	$65.47	$ 76.74	$ 11.26	17.20%	9.49%	$ 64.54	$ 75.42	$ 10.87	16.85%	9.23%
SC 1 BR - Residential Heat Reduced Rate (Tier 3)	$56.17	$ 71.39	$ 15.22	27.09%	13.91%	$39.65	$ 48.67	$ 9.01	22.73%	9.70%	$ 37.19	$ 45.16	$ 7.97	21.42%	8.81%
SC 1 BR - Residential Heat Reduced Rate (Tier 4)	$61.06	$ 75.89	$ 14.83	24.29%	12.98%	$47.38	$ 57.07	$ 9.69	20.46%	9.63%	$ 36.45	$ 41.51	$ 5.06	13.87%	5.64%

Appendix 2

NATIONAL INSURANCE CRIME BUREAU
Leading the Fraud Fight

Questions or Changes?
Contact: Maggie Shimkus
- (847) 544-7124
Toll Free: - (800) 447-6282
www.nicb.org

Invoice Number	Invoice Date	Amount Due	Amount Paid	Due Date
506197	4/1/2022	$4,644.43	$0.00	Due Upon Receipt

Joseph Blancato, Jr.
National Grid - L179
40 Sylvan Rd
Waltham, MA 02451

Mail Payments To:
NICB
P.O. Box 75262
Chicago, IL 60675

Please Return This Portion With Your Payment

NATIONAL INSURANCE CRIME BUREAU
Leading the Fraud Fight

Invoice Number	Invoice Date
506197	4/1/2022

2ND QUARTER INVOICE 2022

	National Grid - L179
THREE YEAR AVERAGE PAID LOSSES FOR THE YEARS: 2018,2019 and 2020:	$14,372,379
ANNUAL ASSOCIATE MEMBER ASSESSMENT	$18,077.71
QUARTERLY ASSESSMENT	$4,519.43
ANNUAL NICTA FEE *	$500.00
QUARTERLY NICTA FEE **	$125.00

Amount Due: $4,644.43

PAYMENT IS DUE UPON RECEIPT

Check Payments Should Be Sent To:
NICB
P.O. Box 75262
Chicago, IL 60675

Electronic Payments Should Be Sent To:
TAX ID: 36-3776789
Northern Trust, Chicago, Illinois
Routing Number: 071000152
Account Number: 4253833
Account Name: NICB Operating Account

NOTICE: the Omnibus Reconciliation Act of 1993, Section 280 I(b)(1), precludes a tax deduction for that portion of association dues attributable to "lobbying" activities, which NICB estimates at 0.412(0.00412) percent of your assessment.

THIS INVOICE HAS BEEN CALCULATED USING THE FORMULA APPROVED BY THE BOARD OF GOVERNORS OF THE NATIONAL INSURANCE CRIME BUREAU FOR DETERMINING THE 2022 OPERATING YEAR ASSESSMENT. ASSESSABLE PREMIUM IS DETERMINED USING THE 2020 DIRECT EARNED PREMIUM AS REPORTED TO THE NAIC IN THE ANNUAL STATEMENT.

04/20/2022 RZ